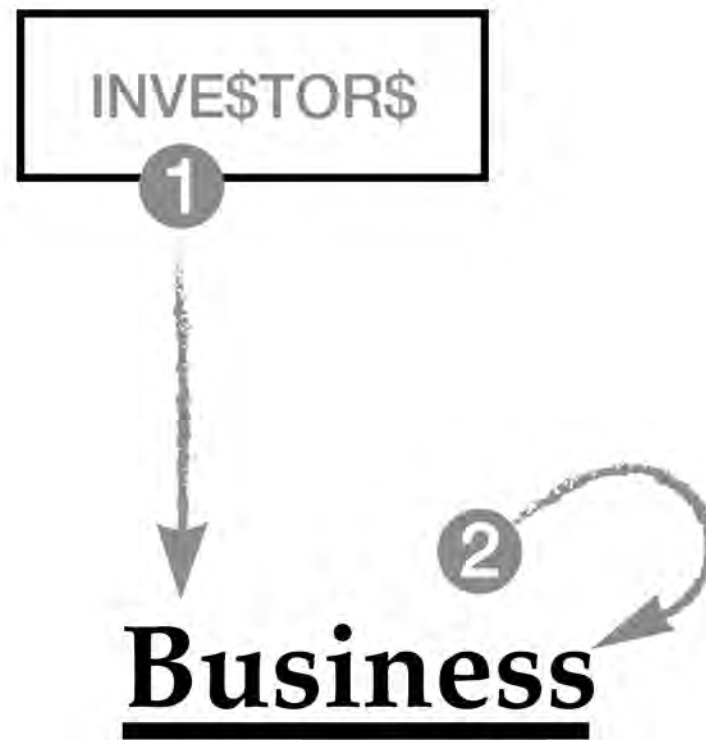


The Velocity of Money



Number 1 represents the beginning of the CASHFLOW® game and shows where Kim and I raised \$250,000 from investors to fund The Rich Dad Company.

The Velocity of Money

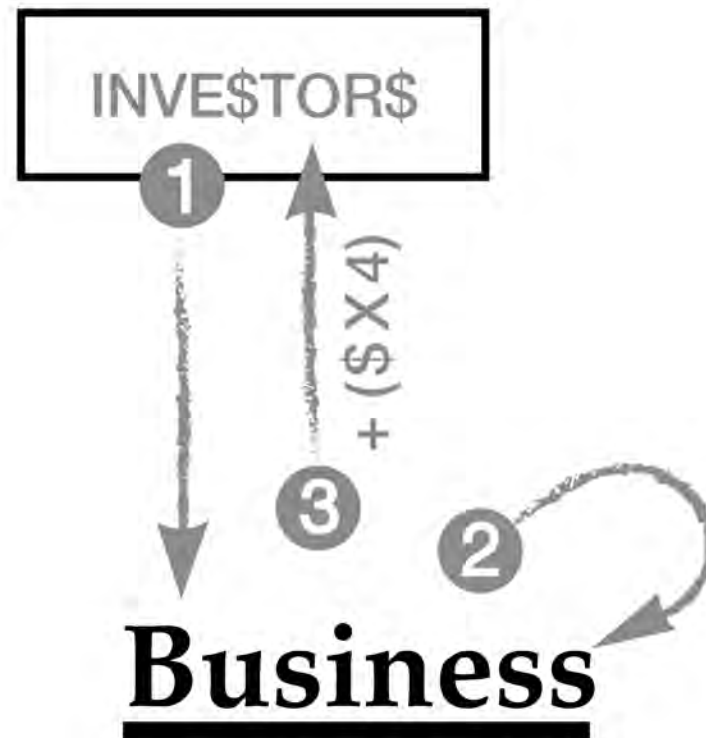


Number 2 represents reinvesting money into the business.

The reason the arrow loops around and back to the business is to illustrate that the reinvested money is tax-free.

This tax-free income is used to hire more people, buy more equipment, and grow the business.

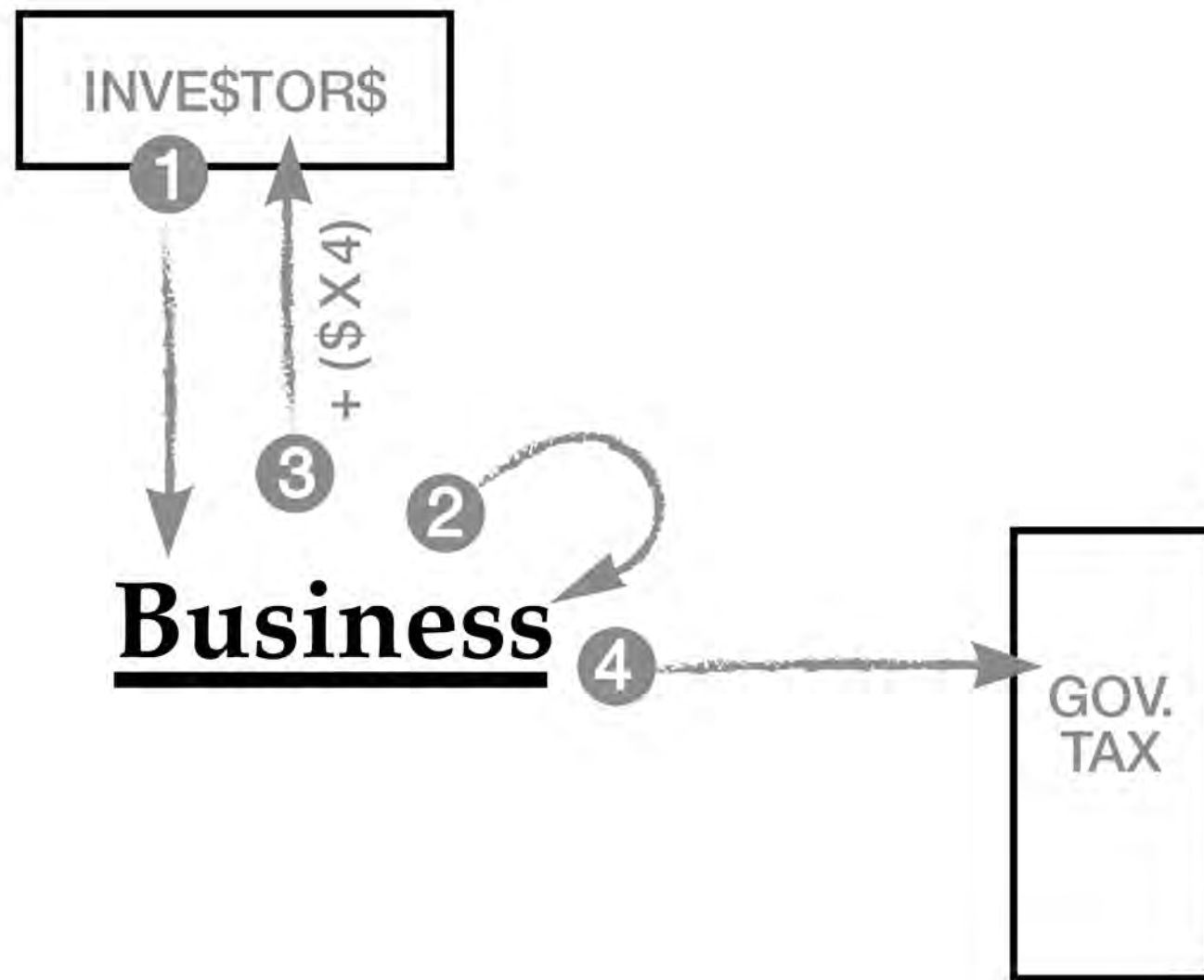
The Velocity of Money



Number 3 represents repaying our investors (\$ X 4).

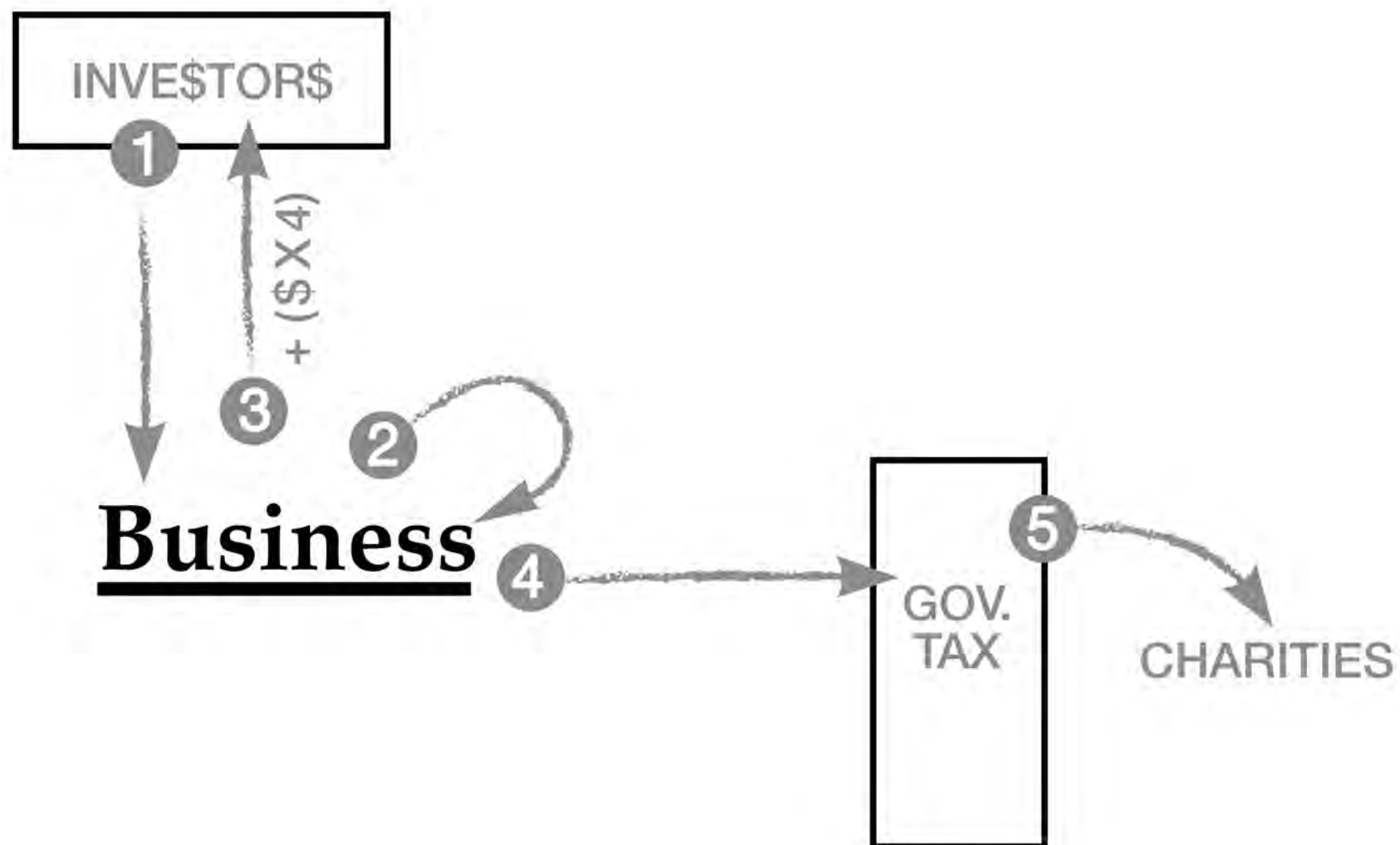
That means they received a 400% return on their money in two years, or \$1 million.

The Velocity of Money



Number 4 represents the point at which Kim and I finally took our money out of the company, via **paychecks and bonuses**—money that is taxed by the government. It was nearly three years before we pulled any money out of the business.

The Velocity of Money



Number 5 represents tithing, which means we gave 10% of our gross income to registered charitable organizations. Although we receive tax deductions from the government for this money, the primary reason for tithing is spiritual.

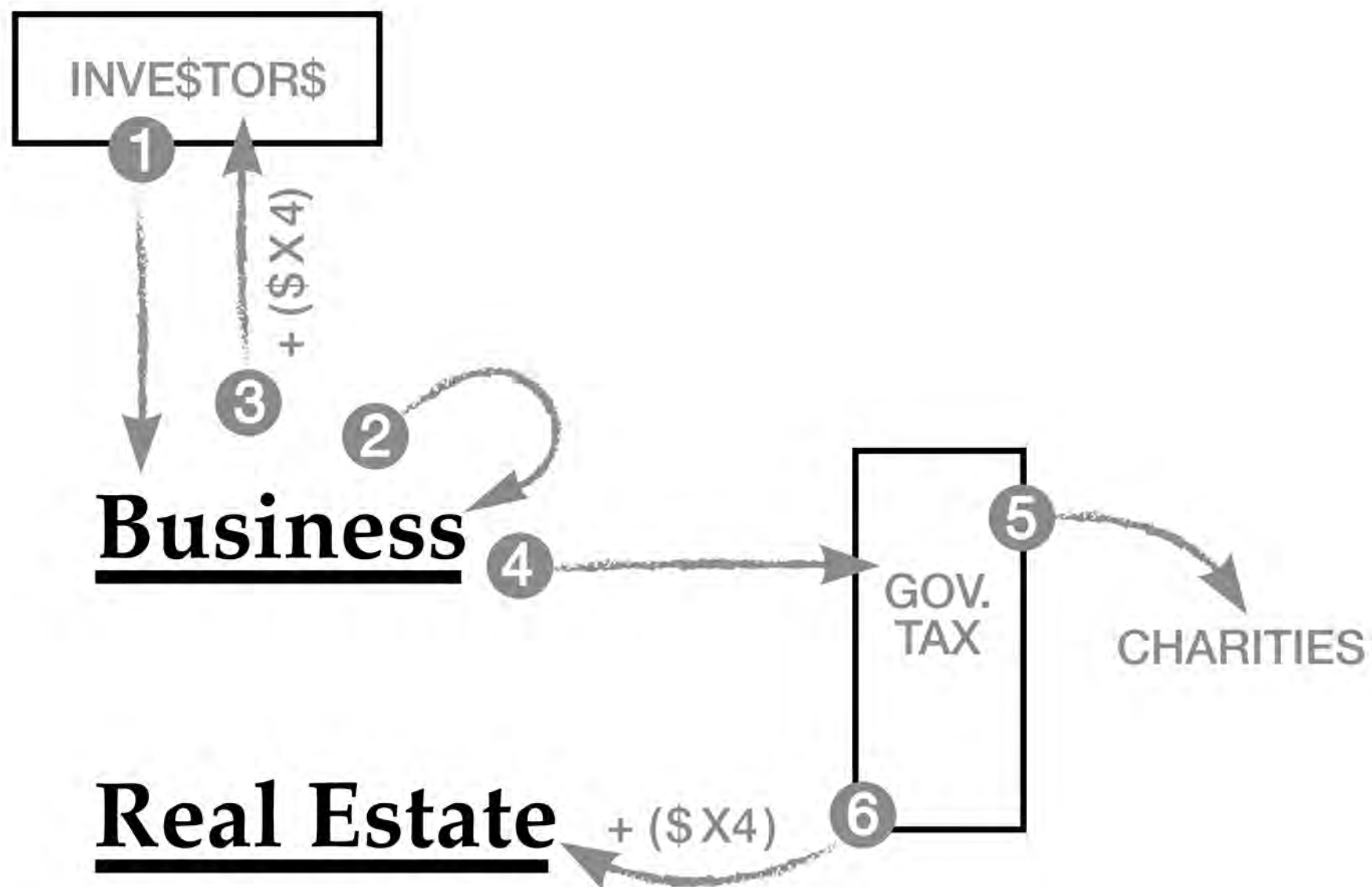
The tax deductions are only an added advantage.

We tithe because we believe god is our partner.
If we do not pay our partner, our partner stops working.

Always remember, if you want a smile, give a smile.
If you want a punch, throw a punch.
And if you want more money, give money.

I always chuckle when I hear a person say, "I'll give money, when I have money." From my point of view, the reason they do not have money is because they do not give money.

The Velocity of Money

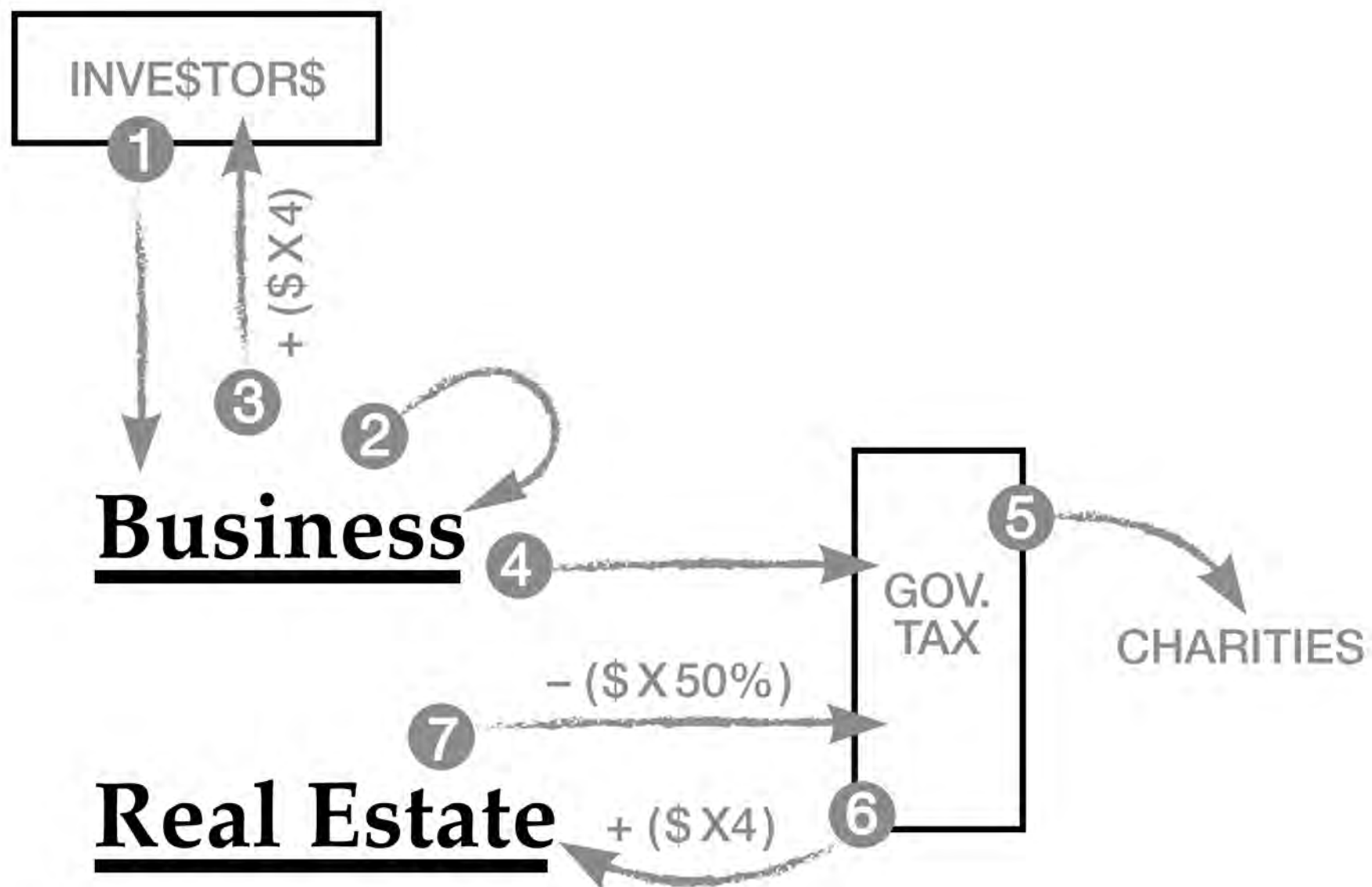


Number 6 indicates our investments in real estate.

Beside the arrow is ($\$ \times 4$). The $\$$ represents our equity, our down payment into a real estate investment.

The 4 represents the bank debt secured to acquire the property.
The debt makes up for the tax liability.

The Velocity of Money

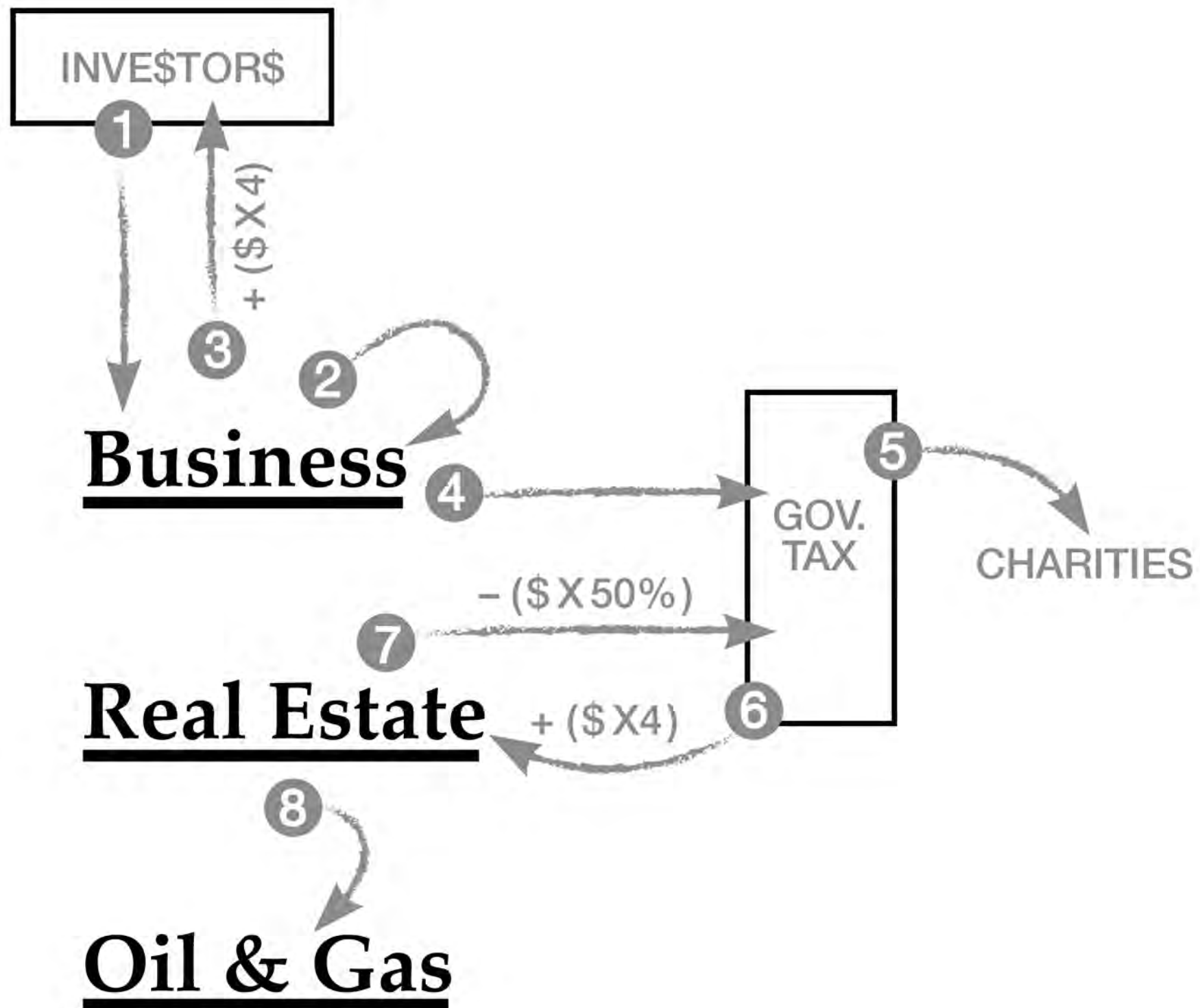


Number 7 represents the tax deduction we received from the government—so $(\$ \times 50\%)$ means we get money back from the government by paying less in taxes. It is called phantom cash flow.

For example, let's say I owe \$1,200 in taxes on my personal income. Because I have investment property, the government allows me to deduct "losses." One type of "loss" is called depreciation.

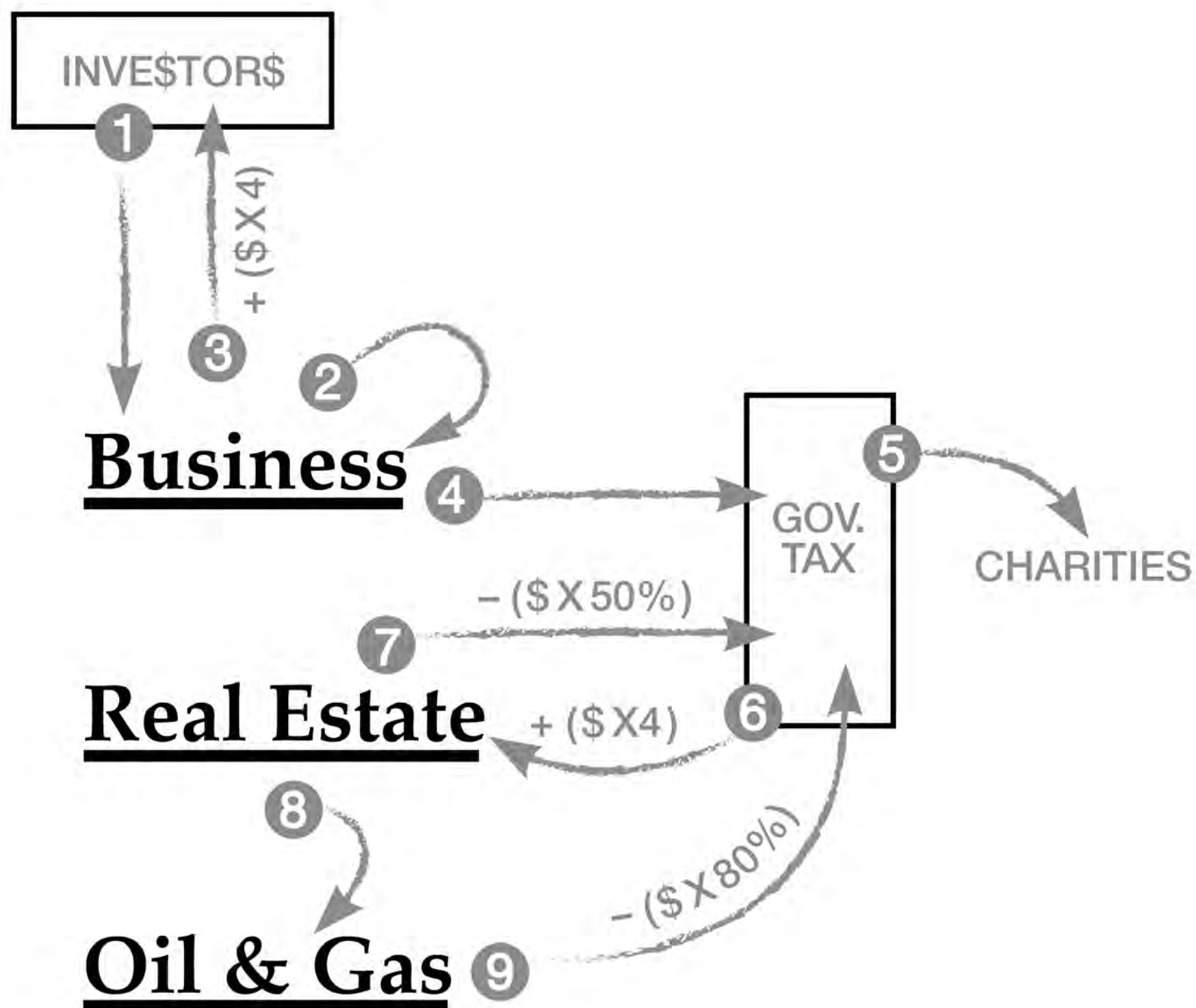
Keeping things simple, let's say my depreciation is \$500. This means, rather than pay \$1,200 in taxes to the government, my tax bill is reduced to \$700. The \$500 in depreciation is called phantom cash flow because it is money that stayed in my pocket. I did not have to pay that \$500 to the government.

The Velocity of Money



Number 8 represents cash flowing into oil wells and gas investments.

The Velocity of Money



Number 9 represents the reduction in taxes—($\$ \times 80\%$)—which is the money the government allows me to deduct from my tax bill for investments in gas and oil.

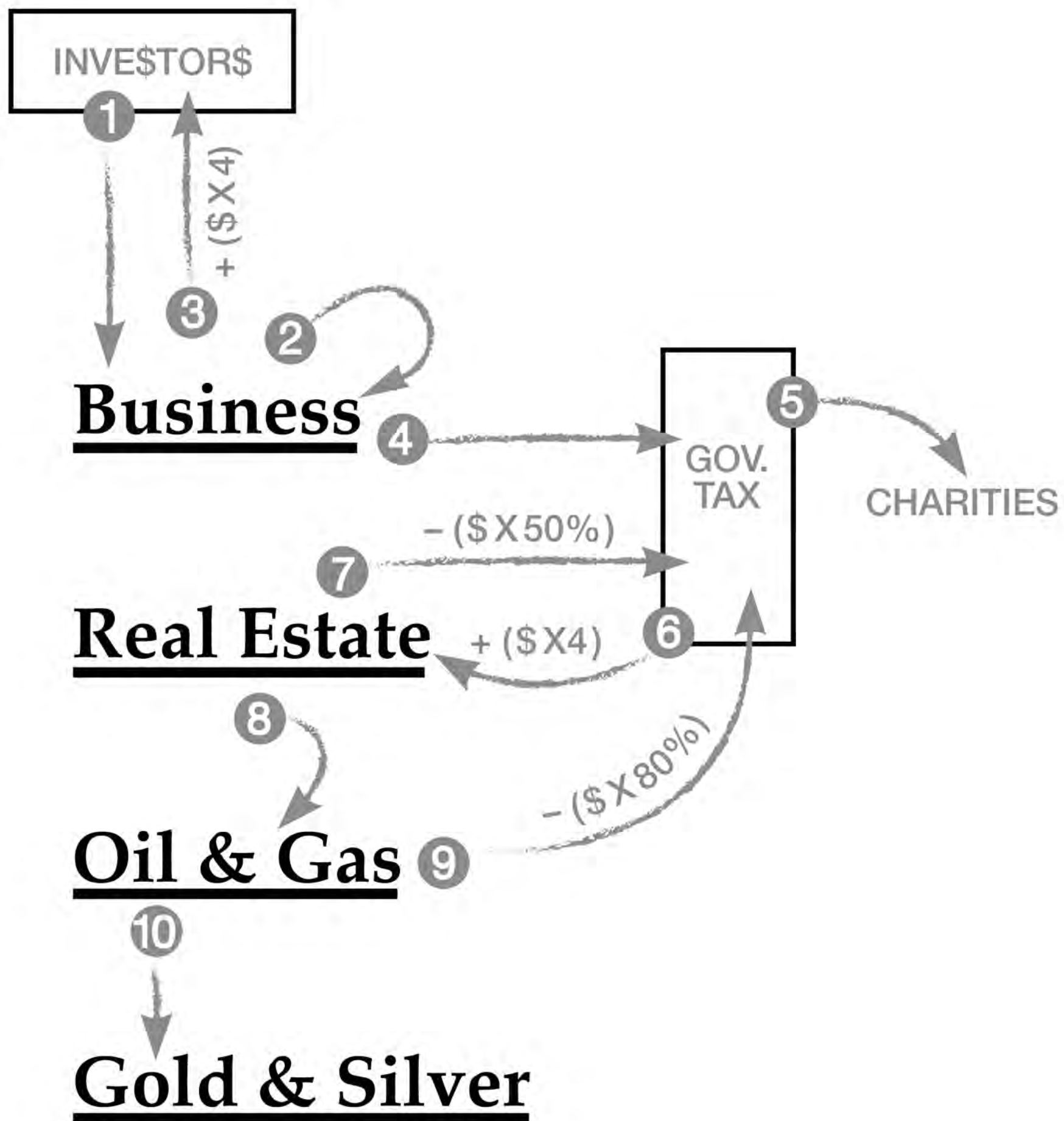
I wrote about investing in oil and gas, and receiving a 32% return on my money, in a previous chapter. I receive a 32% return by assuming I am in the 40% tax bracket. If I invest \$1,000 into an oil or gas well, the government allows me an 80% deduction. $\$800 \times 40\% = \320 , a 32% return in reduced taxes.

Again, rather than pay the government, that \$320 stays in my pocket.
Notice my tax bill coming down:

$$\begin{array}{r}
 \$ 1,200 \\
 < 500 > \\
 \underline{< 320 >} \\
 \$ 380
 \end{array}$$

On the B- and I-side of the quadrant, the more I invest, the less I pay in taxes.

The Velocity of Money



Number 10 points to gold and silver. Rather than save money, I would rather save gold and silver. I do not consider gold and silver a good investment, per se, because gold and silver are subject to very high taxes.

I suspect taxes are high on the sale of gold and silver because the U.S. government does not want citizens to own gold and silver.

I only keep gold and silver as a hedge, as insurance against the possible collapse of the dollar, just as the German Reichsmark collapsed in 1923.

The Velocity of Money

